

INTELLI-CREDIT

AI-Powered Corporate Credit Decision Engine | Credit Appraisal Memorandum

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1. COMPANY PROFILE

Company Name	Apex Textiles Ltd	Industry Sector	Textiles
Loan Amount Req.	■ 5,000,000	Assessment Mode	Balanced

2. CREDIT DECISION SUMMARY

■ Low Risk **Recommend Approval** **Score: 18/100** **Confidence: 80%**

3. FINANCIAL RATIO ANALYSIS

Metric	Value	Benchmark	Assessment
DSCR (Debt Service Coverage)	1.62x	≥ 1.50x	■ Strong
Interest Coverage Ratio (ICR)	4.00x	≥ 2.50x	■ Strong
Debt-to-Equity Ratio	2.08x	≤ 2.00x	■ Acceptable
EBITDA Margin	16.0%	≥ 15%	■ Strong
Current Ratio	1.29x	≥ 1.33x	■ Acceptable
Revenue Growth	19.0%	≥ 10%	■ Strong

4. RISK COMPONENT BREAKDOWN (WEIGHTED SCORECARD)

Risk Dimension	Score	Weight	Contribution
Capacity Risk	0	35%	0
Capital Risk	28	25%	7
Character Risk	25	20%	5
Conditions Risk	30	20%	6
TOTAL RISK SCORE		100%	18

5. KEY RISK FACTORS IDENTIFIED

■ Debt-to-Equity exceeds industry benchmark of 2.0x.

- Current ratio below RBI's recommended 1.33 for working capital loans.
 - Pending litigation — legal outcome uncertain.
 - Moderate adverse media exposure.
 - Textiles sector carries elevated macro/regulatory risk.
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6. POSITIVE CREDIT ATTRIBUTES

- Strong DSCR indicates comfortable debt-servicing ability.
 - Healthy ICR — earnings comfortably cover interest payments.
 - Strong revenue growth trend noted.
 - GST filings regular and compliant.
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7. ANALYST NARRATIVE & RECOMMENDATION

Apex Textiles Ltd demonstrates a strong financial profile with a DSCR of 1.62x, indicating robust debt-service capability. The leverage position is within acceptable limits, and qualitative risk indicators are benign. The credit committee may consider approving the facility subject to standard covenants including quarterly financial reporting and maintenance of DSCR $\geq 1.25x$.

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